

5.2

Common Size Analysis

In this unit, we will learn about the common size income statement of the company. Once we have entered the entire Income Statement, we will get the Common Size Income Statement automatically derived in the excel sheet. We need to adjust the common-size income statement for it to reflect any changes made in the income statement format.

COMMON SIZE INCOME STATEMENT						
PARTICULARS	FY 2016	FY 2017	FY 2018	FY 2019	FY 2020	FY 2021
Revenue from Operations	100%	100%	100%	100%	100%	100%
Operating Expenses -						
Cost of goods sold	45%	44%	46%	51%	47%	46%
Employee Benefit Expense	10%	11%	11%	12%	13%	13%
Depreciation and Ammortisation	2%	2%	2%	2%	2%	3%
Other operating expenses:						
Clearing, forwarding and octroi duty	4%	4%	4%	4%	4%	5%
Advertisement and Publicity	3%	3%	3%	3%	4%	2%
Contract labour	0%	0%	1%	1%	1%	1%
Other operating expenses:	10%	11%	10%	10%	10%	9%
Total operating expense	75%	74%	78%	83%	81%	80%
EBIT	19%	19%	20%	17%	19%	20%
Non - operating Revenue:						
Interest	0%	0%	0%	0%	0%	0%
Dividend	0%	0%	0%	0%	0%	0%
Other non operating Income	1%	2%	2%	2%	2%	1%
Total Non- operating revenue	1%	2%	2%	2%	2%	1%
Non-operating expenses-						
Finance Costs	0.23%	0.23%	0.25%	0.37%	0.47%	0.51%
Other non-operating						
#1						
#2						
Total Non-operating Expenses						
PBT	20%	21%	22%	19%	21%	21%
Tax expense						
Current tax	5%	6%	6%	6%	5%	5%
Deferred tax/ (credit)	0%	0%	0%	0%	0%	0%
Total Tax Expense	6%	6%	6%	6%	5%	5%
Profits from JV and Associates	0%	0%	0%	0%	0%	0%
Non-controlling interests	0%	0%	0%	0%	0%	0%
Exceptional Items	0%	0%	0%	0%	-1%	0%
PAT	14%	14%	15%	13%	15%	16%
OCI						
Remeasurement of defined benefit plan	0%	0%	0%	0%	0%	0%
Income Tax related to OCI	0%	0%	0%	0%	0%	0%
Exchange difference on translation	0%	0%	0%	0%	0%	0%
Total OCI	0%	0%	0%	0%	0%	0%
Total Comprehensive Income	14%	14%	15%	13%	15%	15%